

FAIR TRADE FACT SHEET

ISSUES

- Free trade has the capacity to lift millions of people out of poverty but instead, wealth is concentrated in the hands of already rich northern processors, merchants and retailers.
- The prices of commodities, such as bananas, coffee or cocoa have fallen, sometimes drastically, over recent years, leaving producers in the South at the mercy of wildly fluctuating prices.

Fair trade

Refers to a trading partnership between producers, traders or buyers, and consumers which provides a more equitable and sustainable form of exchange.

Free trade

Refers to the gradual phasing out of trade barriers, such as tariffs or subsidies, to allow for easier access to international markets

OH CANADA!



FRUIT AND BANANAS THE FACTS

In 1996, almost a billion dollars worth of fruit and fruit products was imported into Canada from the South.

Between 1987 and 1997, the quantity of fruits imported into Canada from the South increased by approximately 45 %, from 452 to 656 million kilograms worth of fruit and fruit products.

Cocoa and Coffee

FACTS

Total chocolate sales in Canada in 1996 reached \$1,109 billion or 163 billion kilograms.

67% of Canadians drink coffee everyday, drinking on average three cups a day.

Clothing Industry FACTS

By 1998, 46% of the \$8 .7 billion worth of apparel bought by Canadian consumers was imported.

Did you know?

Together, the apparel and textile industries are the largest industrial employer in the world. The apparel sector represents about half of the global industry. More than 23.6 million workers are employed in the garment industry worldwide. Close to 75% are women.

Source: Maquila Solidarity Network
www.maquilasolidarity.org

Sources: Statistics Canada, Imports, Imports by Commodity, 1998; The Coffee Association of Canada; International Cocoa Organization; Statistics Canada 1999, Clothing Imports by Value

EFFECTS OF CASH CROPS

Large scale farming in the south results in:

- The loss of biodiversity and excessive use of highly toxic pesticides
- Soil erosion and siltation of waterways
- Poor working conditions, including low wages and denial of the right to organize
- Reduced self-reliance of small growers, and their displacement by large foreign-owned enterprises

*Before you finish eating breakfast
this morning, you will depend on
half the world.*

- Martin Luther King Jr.

FAIR TRADE ALTERNATIVE

The fair trade alternative offers producers the chance to deal with suppliers directly, and guarantees them a fair price - one that represents the cost of labour and production.



In Canada, all fair trade labelling is organized through TransFair Canada (TFC). TFC is a membership based, not-for-profit company that owns and licenses the TransFair label.

Check out: www.transfair.ca

For a complete list of fair-trade retailers in Ottawa!

Other organization involved in fair trade include:

BRIDGE HEAD

Sells a variety of fair trade products, including coffee, tea and cocoa. coffee shops in the Ottawa area

Check out: www.bridgehead.ca

TEN THOUSAND VILLAGES

Sells fairly traded handicrafts, coffee, tea, and other knick knacks. Their store is staffed by volunteers who give their time to promote fair trade.

Check out: www.tenthousandvillages.ca

Ethical Consumerism

As a customer, the products you buy reveal what companies you wish to support. Buying power means you can pressure distributors and retailers to stock the products that adhere to the principles of fair trade.

All products bearing the fair trade label must adhere to the following principles:

- Paying fair prices to producers which recognize the cost of labour and production
- Buying directly from producers and pay an advance of up to 50% to allow producers to buy seeds, tools and materials
- Raising awareness among consumers of the negative impact of traditional trade on small producers
- Protecting human rights by promoting social justice, sound environmental practices and economic security
- Working with democratically-run organizations like co-operatives and self-help groups
- Promoting development opportunities for women and indigenous people, and to protect children from exploitation in the production process

Source: International Federation of Alternative Trade

DO SOMETHING !

What can you do?

- Become more aware of global issues such as international trade, child labour, poverty and globalisation
- Examine your current lifestyle; how does it affect others?
- Hold a fair trade workshop at your school, local community centre, or at your kitchen table
Check out: www.oxfam.ca for a detailed workshop kit
- Hold a No Sweat Fashion Show! at your high school, to raise awareness of Sweatshop fashion. Check out: www.maquillasolidarity.org for everything you need to start your own No Sweat Fashion Show
- Write a letter to newspaper or your favourite coffee shop chain expressing your concern for economic fairness, and fair trade
- Buy your coffee at the many fair-trade retailers in the Ottawa area. For a complete list check out www.transfair.ca